

Certainty of Contractual Terms

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Introduction

- For a contract to be binding, its terms must be “**sufficiently** definite to enable the court to give it a practical meaning. Its terms must be so definite, or capable of being made definite without further agreement of the parties, that the promises and performances to be rendered by each party are reasonably certain”. *G. Scammell and Nephew Limited v H C and J G Ouston* [1941] AC 251 at p. 268.
 - If an agreement is to be enforced as a contract, the parties to it must have reached an agreement on all its essential terms, which must be expressed with sufficient clarity to permit enforcement.
 - If the terms of an agreement are incomplete, unclear, ambiguous or uncertain, it will often be assumed that the parties did not intend their agreement to be legally binding, or that they have not yet reached a final agreement.
- Importance of the principle of certainty of terms:
 - Essential to performance and enforcement (parties must know their rights and obligations; court must be able to ascertain such rights and obligations and, on breach, awarded damages)
 - Affirms freedom of contract
- Courts will tolerate a degree of imprecision in commercial agreements.

Introduction (cont'd)

- Certainty is an aspect of the process of contract formation and is an essential element of a valid contract.
- The certain or uncertain nature of terms becomes essential when one party seeks to enforce the 'contract'.
- The consequences of uncertainty are grave – an uncertain contract (or contract term) is unenforceable; no rights accrue under it in contract law.

Sources of contractual uncertainty

- Absence of essential terms (e.g., price, quantity, delivery date)
- Ambiguity and vagueness in expression or internal contradictions (e.g., ‘best efforts’, ‘best endeavours’, ‘good faith’, ‘act honourably’, ‘reasonably’)
- Failure to complete the contracting process (e.g., ‘subject to contract’, ‘informal agreement to be reduced into writing at a later date’, ‘formal contract to be executed at a future date’, ‘performance preceding contract’, ‘agreement to agree’ ‘inchoate agreement’).
- Contracts drafted without professional assistance

Saving contracts from failing for uncertainty

Drafting mechanisms:

- Attention to detail
- Reference to objective standards (“prevailing market price”)
- Defining terms used in the contract
- Imposing the duty to resolve an uncertainty on one party or a third party

Judicial mechanisms:

- Severance of an uncertain term (limited to those terms that are meaningless, minor, or subsidiary to an otherwise enforceable agreement; or in a divisible part of an agreement).
- Interpretation or construction
- Reliance on extrinsic evidence (e.g., course of dealing, post-contract conduct, industry standards) or ascertainable objective criteria (market price)
- Implying terms into the contract (e.g., *Foley v Classique Coaches*, *Empress Towers v Bank of Nova Scotia*)

++ Judicial approaches to uncertainty (activist/can-do approach versus passive approach; emphasis on commercial reality versus abstract legal principles)

British American Timber Co. v. Elk River Timber Co. 188-191

- In this case, the court decided that when an agreement is complete in itself, the fact that a formal contract is to be drawn up at a later date embodying its terms does not render it unenforceable. How did the court conclude that the parties' agreement of June 15 was complete in itself, notwithstanding its clause 10?
- Macdonald CJBC began his judgment with “The said contract has been partially performed”. To what extent did this reality inform the outcome of the case? Is the fact that a contract has been partly performed relevant in assessing whether it is enforceable when one party alleges uncertainty or the absence of agreement?

May & Butcher v. The King 192-194

- The structure of the parties' agreement was this: There was an agreement for the sale of the goods; there was an agreement that the price for the goods should be subsequently fixed by the parties at a future date; and there were provisions about arbitration in the event of dispute. What was the central issue in the case, and how did the court resolve it?
- This case establishes the principle that an agreement between two parties to enter into an agreement (an 'agreement to agree') is not a contract. Why does the law take this position?
- How would you have decided this case? Explain why you agree or disagree with the outcome.

Foley v Classique Coaches 196-198

- What were the facts of this case? [Note: “The vendor shall sell to the company and the company shall purchase from the vendor all petrol which shall be required by the company for the running of their said business at a price to be agreed by the parties in writing and from time to time.”]
- What was the primary legal issue, and how did the court resolve it?
- How do you reconcile this case with *May & Butcher*?

Scammell (G.) and Nephew, Limited v. Ouston 198-199

- In this case, the court held that where the language used by the parties is so obscure and so incapable of any definite or precise meaning, such that the court is unable to attribute to the parties any particular contractual intention, it will hold that there is no contract.
- In this case, the clause at issue provided: “this order is given on the understanding that the balance of purchase price can be had on hire-purchase terms over a period of two years”. Explain why you agree or disagree that this language is incapable of any definite or precise meaning.
- Which of the two bases on which Lord Wright grounded his decision do you prefer?

Exercise 1

Agnes Chiswick is the widow of John Chiswick, a widely acclaimed and frequently published author. In 2024, Living Legends Publishers (“LLP”) approached Agnes about publishing a collection of John’s short stories. Although many of the stories had previously appeared in magazines and literary journals, they had never been collected into a single anthology. After several discussions, Agnes and LLP signed a document entitled “Publishing Agreement,” dated August 15, 2024. It provided, in part:

“The Publisher shall assume the task of locating and procuring the uncollected stories of John Chiswick and delivering them to the Author. Thereafter, the Author will deliver to the Publisher, on a mutually agreeable date, one copy of the manuscript of the Work in a form and with content satisfactory to the Publisher. Within a reasonable time and at a mutually agreeable date after delivery of the final revised manuscript, the Publisher will publish the Work at its own expense, in such style and manner and at such price as it deems best and will keep the Work in print as long as it deems it expedient.”

The agreement also provided that the proposed book was tentatively titled The Uncollected Stories of John Chiswick. Agnes received a \$50,000 advance for manuscript preparation. She subsequently assisted LLP in locating several of the stories and discussed with LLP the possibility of arranging them chronologically.

By the end of 2025, LLP had located and delivered more than 40 previously uncollected stories to Agnes. No manuscript had yet been prepared or delivered. Shortly afterward, Agnes wrote to LLP stating that she would not proceed with the project. She explained that John had appeared to her in a dream and had told her that he did not want the stories published. Agnes offered to return the \$50,000 advance.

LLP insists that the parties entered into a binding publishing contract and demands that Agnes complete the manuscript. Discuss whether Agnes and LLP formed a binding contract.

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Exercise 2

Hoffman owns and operates a small convenience store and is interested in expanding his business by opening a grocery store. Red Owl operates grocery stores through franchises. Hoffman contacts a Red Owl representative, Lustig, to discuss what he would need to do to obtain a franchise.

Lustig explains that he regularly works with prospective franchisees to help them position themselves to open a Red Owl store, although the final decision to award a franchise is made by Red Owl's headquarters. During several conversations, Lustig tells Hoffman that, in preparation for obtaining a franchise, he should sell his existing convenience store, move to a nearby town, lease a suitable lot, and be prepared to provide approximately \$180,000 toward the proposed store.

Hoffman follows Lustig's advice. He sells his convenience store, moves his family to another town, and enters into a lease for a lot on which he expects to build the new store. He also begins arranging financing. Hoffman subsequently meets with Red Owl's chief financial officer at the company's headquarters. During the meeting, the CFO tells Hoffman that he will need \$24,000 immediately to obtain the franchise and that, if he can obtain the required \$240,000, he is "good to go" with the proposed Red Owl store. Hoffman understands this to mean that the remaining requirements for obtaining the franchise have been satisfied.

Hoffman obtains a loan of \$240,000 from his father-in-law and returns to Red Owl's headquarters. When he explains the source of the money, the CFO tells him that the amount cannot include a loan and that his father-in-law must instead provide the money as a gift. Hoffman is unable to persuade his father-in-law to do so. Hoffman claims that Red Owl is bound because he acted on its representations and completed everything he was asked to do. Red Owl maintains that the parties were only negotiating and that no contract was ever formed.

Discuss whether the parties formed a contract at common law.

Exercise 3

In March 2025, Maya, the owner of a small specialty coffee company, began discussions with Daniel, who operated a café in downtown Toronto. Daniel was interested in purchasing coffee beans exclusively from Maya for use in his café. After several meetings, they signed a document entitled “Supply Agreement”.

The agreement stated: “Daniel agrees to purchase from Maya, and Maya agrees to supply, the coffee beans required for Daniel’s café for a period of three years. The beans will be of the quality ordinarily supplied by Maya to her commercial customers. The quantity supplied will be sufficient to meet the café’s requirements. The parties agree that the price will be fair and reasonable having regard to market conditions. Deliveries will be made regularly as required by the café. The parties will discuss delivery schedules, quantities and pricing from time to time as necessary”.

Before signing, Daniel had proposed purchasing approximately 200 kilograms of coffee per month, but Maya had rejected that figure as premature. Maya told Daniel that she “did not want to lock herself into a number” and that they could “work out the details as the business developed”. Daniel responded that he expected the arrangement to be “flexible”.

For the first six months, Maya supplied Daniel with approximately 200 kilograms per month. However, the quantities varied between 150 and 250 kilograms depending on Daniel’s requests. The price also changed each month. On several occasions, Maya refused additional orders because she claimed she had insufficient inventory. Daniel purchased replacement beans from another supplier.

In November 2025, wholesale coffee prices increased substantially. Maya informed Daniel that she would no longer supply him unless he agreed to a significantly higher price. Daniel refused and claimed that the three-year agreement remained binding. Maya argues that the document was only an agreement to negotiate the details of a future supply arrangement and that the essential terms were never settled.

Discuss whether the agreement is sufficiently certain to constitute a binding contract.

Empress v Bank of Nova Scotia, 201-203

- This case establishes that where, in an existing contract, the parties have agreed to agree on an essential term at a future date, the court, in seeking to give effect to that agreement (and not to hold the agreement void for uncertainty), may imply a term importing an obligation to negotiate in good faith and not to unreasonably withhold consent. What is the nature of this obligation? When and how is it breached, and what are the consequences of a breach?
- The Minority held that since the lease agreement expressly left the essential terms of the renewal rent to be mutually determined by the parties at a future time, it was unenforceable due to uncertainty. It also rejected the invitation to imply a duty to negotiate in good faith into the contract, firstly, because of the vague and indefinite nature of the phrase itself and, secondly, because it was not for the court to make the contract for the parties.
- “In the light of these cases, perhaps *Empress Towers* should be regarded as confined to its very narrow set of facts, and not as authority for a general proposition that the duty to bargain in good faith exists whenever a negotiation takes place within an existing contract. To some extent this seems to have happened” [EdperBrascan Corp. v. 117373 Canada Ltd., 2000 CanLII 22694, para. 49](#) (ON SC)). What is problematic about recognizing a duty to negotiation in good faith?

+++ Note: Good faith is recognized as an organizing principles of Canadian contract law, but it does not entail a duty to negotiate in good faith.